INTERNAL COMMUNICATION

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INTERNAL-USE SOFTWARE, HOSTING ARRANGEMENTS AND WEBSITE DEVELOPMENT ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton") accounting for internal-use software, hosting arrangements, and website development in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton may engage in activities related to the development and implementation of internal-use software, hosting arrangements, and website development. Hilton engages in these projects in order to meet internal needs and does not intend to market or sell what we develop. Additionally, Hilton will also purchase software from third parties or hire a third party to develop a website.

SCOPE

The scope of this policy extends to all internal-use software, hosting arrangements, and website development projects that are either developed or acquired for internal use. Internal-use software has the following characteristics:

- The software is acquired, internally developed, or modified solely to meet Hilton's internal needs.
- During the software's development or modification, no substantive plan exists or is being developed to market the software externally.[1]

Hosting arrangements include any of the following types of arrangements: Software as a Service ("SaaS"), Infrastructure as a Service ("IaaS"), and Platform as a Service ("PaaS").

Various types of internal and external costs are incurred as part of the development of websites including software to run the website, website content (e.g., articles, product photos, maps, stock quotes and charts) creation, and the costs to integrate and operate the site. These websites are used to promote the business, book reservations, provide customer service, and meet other needs of Hilton but are not marketed for external sales. Therefore, costs related to website application and infrastructure development have the same characteristics as internal-use software and are within the scope of this policy. Throughout this policy, the terms internal-use software and website development costs are used synonymously as the accounting considerations for either topic are identical except as explicitly discussed in **Subsequent Measurement** and **Derecognition** sections below.

Any internal-use software, hosting arrangement, or website project with a budgeted cost over $100K needs to be evaluated under the guidance of this policy. Projects and purchases with total costs under $100K are expensed as incurred. When determining the project's budgeted cost, it is appropriate to pool any associated hardware costs. Hardware costs are accounted for per Hilton's **FP-FIN-001—Fixed Asset Accounting Policy**. Certain projects may have an aggregate cost to Hilton of over $100K but are paid for by our owned, leased, and/or consolidated joint venture ("JV") hotels. In these instances, costs at an individual property over $1K may be capitalized only upon Regional VP of Finance or Regional Director of Finance approval.

APPLICABILITY

This policy applies to all Finance personnel as well as personnel involved in the development or acquisition of software products.

EXCLUSIONS/ EXCEPTIONS

The guidance in this Policy does <u>not</u> apply to the following transactions and activities:

- Software to be sold, leased, or otherwise marketed as a separate product or as part of a product or process.
- Software to be used in research and development.
- Software developed for others under a contractual arrangement.
- New or upgraded software associated with reengineering activities.[2]

Refer to **FP-FIN-001—Fixed Asset Accounting Policy** for guidance on the appropriate accounting for hardware, servers and other related hardware infrastructure.

[1] *ASC 350-40-15-2A, Intangibles–Goodwill and Other, Internal-Use Software, Scope and Scope Exceptions*
[2] *ASC 350-40-15-4, Intangibles-Goodwill and Other, Internal-Use Software, Scope and Scope Exceptions*

Refer to Hilton's **FP-FIN-002—Capitalization of Employee Labor Costs Accounting Policy** for guidelines on capitalizing internal labor on internal-use software, hosting arrangements and website development projects.

Refer to Hilton's **FP-FIN-023—Capitalized Interest Accounting Policy** for guidelines on capitalizing interest costs incurred while developing internal-use software.

AUTHORIZATIONS

Required Consultations with Technical Accounting ("TA")

TA must be notified prior to making a change in the process of determining the account mappings of previously established or any new software project activity and time codes.

INITIAL RECOGNITION AND MEASUREMENT

a. General Capitalization Guidance

Costs incurred for internal-use software, hosting arrangements, and website development cannot be capitalized until after both of the following occur:

a. The preliminary project stage is substantially complete and the types of costs incurred most closely represent the application development stage. Refer to the ***Stages of Internal-Use Software Development*** and ***Stages of Website Development*** subsections below for the activities generally performed in each of these stages.
b. Management authorizes and commits to funding the project; it is probable the project will be completed; and the internal-use software, hosting arrangement, or website will be used to perform the function intended. Examples of authorization include the execution of a contract with a third-party to develop the software, project approval of expenditures related to internal development, or a commitment to obtain the software from a third-party.[3]

If a cost is incurred related to internal-use software, hosting arrangements, or website development and was determined to be related to a capitalizable activity based on the guidance below in the ***Stages of Internal-Use Software Development*** and ***Stages of Website Development*** subsections, that cost must also be one of the following in order to be capitalized:

- An external direct cost of materials or services consumed in developing or obtaining internal-use software, hosting arrangements, or websites.
  - For example: fees paid to third parties for services or contract labor to develop the software, costs incurred to obtain software from third parties, and travel expenses incurred by employees in their duties directly associated with developing software.
- Payroll or payroll-related costs of Hilton employees who are directly associated with and devote time to the project, to the extent of the time spent directly on the project. Refer to Hilton's **FP-FIN-002—Capitalization of Employee Labor Costs Accounting Policy** for guidelines on capitalizing internal labor on internal-use software, hosting arrangements, and website development projects.
- Interest costs incurred while developing internal-use software, hosting arrangements, or websites.[4] Interest can only be capitalized if the amount is material and the total budgeted capital spend for the project is greater than $5.0 million in accordance with the **FP-FIN-023—Capitalized Interest Accounting Policy**.

[3] *ASC 350-40-25-12, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[4] *ASC 350-40-30-1, Intangibles-Goodwill and Other, Internal-Use Software, Initial Measurement*

b. *Stages of Internal-Use Software Development (Waterfall Method)*

There are two methodologies used to capitalize software and website development costs: the waterfall method and the agile method. The waterfall method is a sequential or linear development method with each stage of development being completed before the project can move forward to the next stage. However, the agile method of software development is designed to be flexible and centers around incremental and iterative steps to complete projects. Under the agile method, there is recurring feedback that is used to continuously iterate the development process, resulting in features and functionalities that are individually developed and continuously changing until the project is complete.

There are three stages of development for internal-use software: (i) preliminary project stage, (ii) application development stage, and (iii) post implementation/operation stage. Understanding the various activities that occur within each of the three stages is critical to identifying which costs are expensed and which are capitalized. The determination of whether to expense or capitalize a cost is dependent on the nature of the activity being performed. If during the project it becomes probable that the software project will not be completed, no additional costs are capitalized, and any previously capitalized amounts are derecognized immediately. [5] Refer to the ***Impairment*** subsection below for further guidance.

Preliminary Project Stage

Costs in this stage are generally incurred in the early stages of a project when Hilton is exploring its technological needs and various alternatives. All costs within the preliminary project stage are expensed as incurred.[6] Hilton generally will perform the following activities during this stage:

- Making strategic decisions to allocate resources between alternative projects at a given point in time.
  - For example: Should programmers develop a new payroll system or direct their efforts toward correcting existing problems in an operating payroll system?
- Determining the performance requirements (e.g., what Hilton needs the software to do) and system requirements for the project.
- Inviting vendors to perform demonstrations of how their software will fulfill Hilton's needs.
- Exploring alternative means of achieving specified performance requirements.
  - For example: Should Hilton make or buy the software? Should the software run on a mainframe or a client server system?
- Determining if the technology needed to achieve performance requirements exists.
- Selecting a vendor if Hilton chooses to purchase software.
- Selecting a consultant to assist in the development or installation of the software.[7]

Application Development Stage

The application development stage occurs after the preliminary project stage is complete and prior to the software being ready for its intended use. Costs incurred to develop the software are typically capitalized during this phase.[8] Hilton generally will perform the following activities during this stage:

- Designing of the software configuration and interfaces.
- Coding.
- Installing hardware
- Developing or obtaining software to access or convert old data by new systems.[9]
  - However, costs incurred to actually access or convert old data into a form that can be read by the new system, reconciling data between the old system and the new system, purging or cleansing of existing data, or creation of new or additional data are not capitalizable and are expensed as incurred.[10]
- Testing, including during a parallel processing phase.[11]

Post Implementation/Operation Stage

The post implementation/operation stage occurs when the software is substantially complete and ready for its intended use. Costs incurred during this phase are expensed as incurred.[12] Hilton generally will perform the following activities during this stage:

- Training
- Application maintenance[13]

Refer to **Appendix I** for more specific details on which costs are expensed or capitalized for each stage.

Team members responsible for making capitalization versus expense decisions in accordance with this policy should communicate with the relevant vendors/developers to understand the nature of any costs which cannot be clearly associated with the three stages and the intended purpose of the stages as described above. As a best practice, Hilton should have early communication with selected vendors on the level of information which may be necessary in invoices to appropriately comply with the nature of the stages and activities outlined above.

c. Stages of Website Development (Waterfall Method)

There are five stages of development for websites: (i) planning stage, (ii) website application and infrastructure development stage, (iii) graphics development stage, (iv) content development stage, and (v) operating stage. Understanding the various activities that occur within the five stages is critical to identifying which costs are expensed as incurred and which are capitalized. The determination of whether to expense or capitalize is dependent on the nature of the activities being performed. If during the project it becomes probable the website project will not be completed, no additional costs are capitalized, and any previously capitalized amounts are derecognized immediately. [14] Refer to the ***Impairment*** subsection below for further guidance.

Planning Stage

Costs in this stage are generally incurred in the early stages of a project when Hilton is determining its needs and various alternatives. All costs within this stage are expensed as incurred.[15] Hilton generally will perform the following activities during this stage:

- Developing a business plan, project plan, or both.
  - For example: identifying specific goals for the website, performing a competitive analysis, identifying the target audience, creating time and cost budgets, and estimating the risks and benefits of the project.
- Determining the functionalities of the website.
  - For example: order placement, order and shipment tracking, search engine, email, and chat rooms.
- Identifying necessary hardware and web applications. Web applications are the software needed for the website's functionalities.
  - Web application examples include: search engines, interfaces with inventory or other back-end systems, systems for registration and authentication of users, commerce, content management, and usage analysis.
- Determining the technology necessary to achieve the desired functionalities exists.
  - For example: target audience members, user traffic patterns, response time expectations, and security requirements.

[5] *ASC 350-40-25-13, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[6] *ASC 350-40-25-1, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[7] *ASC 350-40-20, Intangibles-Goodwill and Other, Internal-Use Software, Glossary*
[8] *ASC 350-40-25-2, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[9] *ASC 350-40-25-3, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[10] *ASC 350-40-25-5, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[11] *ASC 350-40-55-3, Intangibles-Goodwill and Other, Internal-Use Software, Implementation Guidance*
[12] *ASC 350-40-25-6, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[13] *ASC 350-40-55-3, Intangibles-Goodwill and Other, Internal-Use Software, Implementation Guidance*
[14] *ASC 350-40-25-13, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[15] *ASC 350-50-25-2, Intangibles-Goodwill and Other, Website Development Costs, Recognition*

- Exploring alternatives for achieving functionalities.
  - For example: internal versus external resources, custom-developed versus licensed software, company-owned versus third-party-hosted applications and servers.
- Conceptually formulating and/or identifying graphics content.
- Inviting vendors to demonstrate how their web applications, hardware, or service will help achieve the website's functionalities.
- Selecting external vendors or consultants.
- Identifying internally resources for work on the website design and development.
- Identifying software tools and packages required for development purposes.
- Addressing legal considerations.
  - For example: costs incurred related to reviewing privacy, copyright, trademark, and other compliance issues.[16]

Website Application and Infrastructure Development Stage

The website application and infrastructure development stage includes activities to acquire or develop hardware and software to operate the website. Costs incurred during this stage are typically capitalized under the internal-use software guidance above.[17] Hilton generally will perform the following activities during this stage:

- Acquiring or developing the software tools required for the development work.
  - For example: HTML editor, software to convert existing data to HTML form, graphics software, and multimedia software.
- Obtaining and registering an internet domain name.
- Acquiring or developing software necessary for general website operations.
  - For example: server operating system software, internet server software, web browser software, and internet protocol software.
- Developing or acquiring and customizing code for web applications.
  - For example: catalog software, search engines, order processing systems, sales tax calculation software, payment systems, shipment tracking applications or interfaces, email software, and related security features.
- Developing or acquiring and customizing database software to integrate distributed applications into web applications.
  - Distributed applications examples include: corporate databases and accounting systems.
- Developing HTML web pages or developing templates and writing code to automatically create HTML pages.
- Purchasing the web and application server(s), internet connection (bandwidth), routers, staging servers (where preliminary changes to the website are made in a test environment), and production servers (accessible to customers using the website). Alternatively, these services may be provided by a third party via a hosting arrangement.
- Installing developed applications on the web server(s).
- Creating initial hypertext links to other websites or to destinations within the website.
- Testing the website applications.
  - For example: stress testing.[18]

While the costs incurred related to obtaining and registering an internet domain are capitalized, fees incurred for website hosting services from a third-party vendor (i.e., periodic fees to an internet service provider for hosting the website on its server) are not capitalized and are expensed over the period of benefit.[19]

<u>Graphics Development Stage</u>

The graphics development stage includes designing the graphics, layout, and look and feel of the website (e.g., use of borders, background and text colors, fonts, frames, and buttons).[20] The creation of graphics can involve coding of software, either directly or through the use of graphic software tools.[21] Costs incurred for the creation of initial graphics for the website in this phase are capitalized.[22] Refer to the ***Upgrades & Enhancements to Existing Software, Hosting Arrangements, or Websites*** subsection below for further guidance regarding subsequent design costs.

<u>Content Development Stage</u>

This stage begins after the layout of the website has been designed and includes activities to develop the content that will be displayed. Costs incurred during this stage are expensed as incurred. The exception to this is software used to integrate a database with a website, which may be capitalized under the internal-use software guidance.[23] Refer to the ***Stages of Internal-Use Software Development*** subsection above for further guidance. Hilton generally will perform the following activities during this stage:

- Creating or acquiring content to populate databases or web pages.[24]
    - Content can reside in a separate database that is integrated into or accessed from the web page with software or it can be coded directly into the web page itself. [25]
- Inputting content into a website or database.
- Acquiring or developing software to integrate a database with the web page.

<u>Operating Stage</u>

The operating stage is the last stage for website development and occurs once the website has been fully designed and is operational. Costs incurred during this stage are expensed as incurred.[26] Hilton generally will perform the following activities during this stage:

- Training employees involved in the support of the website.
- Registering the website with internet search engines.
- Performing user administration activities.
- Updating site graphics.
- Performing regular backups.
- Creating new links.
- Verifying links are functioning properly and updating existing links.
- Adding additional functionalities or features.
- Performing routine security reviews of the website and, if applicable, of the third-party host.
- Performing usage analysis.[27]

Refer to **Appendix II** for more specific details on which costs are expensed or capitalized for each stage.

[16] *ASC 350-50-55-2, Intangibles-Goodwill and Other, Website Development Costs, Implementation Guidance and Illustrations*
[17] *ASC 350-50-25-6, Intangibles-Goodwill and Other, Website Development Costs, Recognition*
[18] *ASC 350-50-55-3, Intangibles-Goodwill and Other, Website Development Costs, Implementation Guidance and Illustrations*
[19] *ASC 350-50-25-5, Intangibles-Goodwill and Other, Website Development Costs, Recognition*
[20] *ASC 350-50-55-4, Intangibles-Goodwill and Other, Website Development Costs, Implementation Guidance and Illustrations*
[21] *ASC 350-50-55-5, Intangibles-Goodwill and Other, Website Development Costs, Implementation Guidance and Illustrations*
[22] *ASC 350-50-25-8, Intangibles-Goodwill and Other, Website Development Costs, Recognition*
[23] *ASC 350-50-25-10 through 25-13, Intangibles-Goodwill and Other, Website Development Costs, Recognition*
[24] *ASC 350-50-55-7, Intangibles-Goodwill and Other, Website Development Costs, Implementation Guidance and Illustrations*
[25] *ASC 350-50-55-6, Intangibles-Goodwill and Other, Website Development Costs, Implementation Guidance and Illustrations*
[26] *ASC 350-50-25-14, Intangibles-Goodwill and Other, Website Development Costs, Recognition*
[27] *ASC 350-50-55-9, Intangibles-Goodwill and Other, Website Development Costs, Implementation Guidance and Illustrations*

d. Agile Development

The guidance above in the ***Stages of Internal-Use Software Development*** and ***Stages of Website Development*** subsections are based on the waterfall method of software development. Since the project phases are not distinct under the agile method, more judgement is required to determine the nature of the costs, and whether they should be capitalized or expensed. The following three-step model should be used to help make these determinations.

Step 1: Identify the Unit of Account

The primary unit of account for initial recognition and measurement is the software development project. A project can be large (e.g., creating a new software application or module) or small (e.g., introducing a new feature to an existing software application). A project is defined by its functional independence from other development efforts. When two or more development efforts depend on each other to meet one or more design requirements/objectives, the efforts are likely a single project, even if the development process breaks the efforts into smaller, distinct parts.

Step 2: Account for Project Costs

Although there may be the potential to revisit activities under the preliminary project stage due to the iterative nature of the agile method, this potential does not indicate the preliminary project stage is still ongoing and the project does not qualify for capitalization. Instead, there is a general expectation that once coding, testing, and other application development stage activities begin, the preliminary project stage has been substantially completed. As such, when discrete project development stages are not clearly identifiable, Hilton should look to the nature of the activity (i.e., what phase from the ***Stages of Internal-Use Software Development*** and ***Stages of Website Development*** subsections an activity would fall under) when determining if the costs should be capitalized or expensed as incurred.

Step 3: Consider Iterative Activities

Due to the iterative process of the agile method, changes could be made to certain project design features resulting in the revision of the code for those features. This does not automatically result in the initial work needing to be written off. Instead, both the initial work and re-work would be considered part of the application development stage costs and capitalized.

e. Hosting Arrangements

Hosting arrangements include SaaS, PaaS, IaaS, and other similar types of software service arrangements where Hilton does not take possession of the software and instead has access to the software to use on an as-needed basis. Hosting arrangement projects costs include:

- Prepaying for the software service, including payments for enhanced functionality of the software service.
- Evaluating Hilton’s existing hardware and software for compatibility with the software service.
- Enhancing Hilton’s existing internal-use software that is affected by the software service.
- Testing for proper functionality of the software service.
- Reengineering business processes.
- Developing reports.
- Training employees on the use of the software service.
- Data conversion costs such as:
    - Reconciling new data with the data extracted from an old system.
    - Purging existing data.
    - Creating or inputting new data.
- Maintenance work performed by a third party.
- Rights to future service upgrades and enhancements.
- Overhead costs, including general and administrative costs.

Hosting arrangements and their associated projects costs are accounted for in accordance with the ***Stages of Internal-Use Software Development*** subsection.[28]

If Hilton has gained access to the underlying software in the arrangement, any capitalized amounts are recorded as intangible assets. Hilton is considered to have gained access to the software only if the following two criteria are met:

a. Hilton has the contractual right to take possession of the software at any time during the host period without significant penalty.
b. It is feasible for Hilton to either run the software on its own hardware or contract with another party unrelated to the vendor to host the software on Hilton's behalf.[29]

In applying the above criteria, Hilton considers "*without significant penalty*" to mean:

- The ability to take delivery of the software without incurring significant costs (i.e., costs in excess of 10% of the overall arrangement fee). When making this determination, all direct costs (e.g., fees or penalties payable to the vendor for terminating the hosting arrangement or acquiring the software) and indirect costs (e.g., costs incurred to invest in IT infrastructure to host the software or pay another unrelated third party to host the software) associated with taking possession of and running the software in-house or by another unrelated party need to be included as part of this assessment.
- The ability to use the software separately without a significant reduction in utility or value of the software's functionality.[30] The following are examples that would be deemed to cause a significant reduction in utility or value of the software's functionality:
  - Not being able to process substantially the same number of transactions in the same period of time if not hosted by the vendor.
  - Not having access to software upgrades that are only available to customers when the software is hosted by the vendor.
  - The loss of significant features or functions of the software once the software is no longer hosted by the vendor.

If Hilton has not gained access to the software, the hosting arrangement is considered a service contract and, any capitalized amounts are recorded as 'Other long-term assets' in the Consolidated Balance Sheet.

For definitional purposes, we will refer to internal-use software, hosting arrangements in which Hilton gained access to the underlying software and website developments as "internal-use software."

f. Upgrades & Enhancements to Existing Software, Hosting Arrangements, or Websites (Waterfall & Agile)

Upgrades and enhancements are modifications to existing internal-use software, hosting arrangements, and websites that result in additional functionality. "*Additional functionality"* is considered to be the software's ability to perform tasks it was previously incapable of performing (e.g., modifying software to operate on an additional hardware platform or environment, or expanding the software's ability to be used in different geographies or languages). Costs incurred upgrading or enhancing internal-use software are capitalized or expensed under the guidance noted in the ***Stages of Internal-Use Software Development***, ***Stages of Website Development***, and ***Hosting Arrangements*** subsections above. Additionally, before any costs are capitalized, it must be probable that those costs will result in additional functionality.[31]

Examples of modifications that would not result in additional functionality include:

- Changing the aesthetic aspects of the software or website, such as font size or color, pictures, or changing/removing a border.
- Fixing bugs found after release.
- Increasing the software's efficiency.
- Performing routine maintenance.

[28] *ASC 350-40-25-18, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[29] *ASC 350-40-15-4A, Intangibles-Goodwill and Other, Internal-Use Software, Scope and Scope Exceptions*
[30] *ASC 350-40-15-4B, Intangibles-Goodwill and Other, Internal-Use Software, Scope and Scope Exceptions*
[31] *ASC 350-40-25-7, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*

Costs incurred to modify internal-use software, hosting arrangements, and websites that do not result in additional functionality are considered maintenance costs and shall be expensed as incurred.[32] If the costs of maintenance cannot be separated from the capitalizable costs of upgrades and enhancements, the costs are expensed as incurred.[33]

g. Software Licenses

Hilton often licenses internal-use software from third parties and analogizes to leasing guidance when determining whether an asset is acquired as a result of a software arrangement (i.e., finance lease vs. operating lease). The estimated useful life of a software license is three years. Therefore, the initial acquisition of any software license that is for a period greater than 2.25 years, a major part (typically 75%) of the economic useful life, could be considered a capitalizable cost analogous with the guidance for finance leases.[34] For example, while the license term for a perpetual license is indefinite, the cost for a perpetual license is capitalized and amortized over the software's useful life of three years. However, a case-by-case assessment of the license and related software needs to be made to determine if the acquired license term exceeds a major part (typically 75%) of the related software's useful life.

For any software license costs incurred after the initial acquisition, careful consideration is given regarding the nature of these costs and whether these are for upgrades and enhancements to the originally acquired software license or whether they are for maintenance of the software license. Refer to the ***Upgrades & Enhancements to Existing Software, Hosting Arrangements, or Websites*** subsection above.

Certain arrangements include a bundled package for software licenses and software maintenance or technical support. Certain costs can be capitalized if Hilton can reasonably determine the basis between the allocation to each of the elements of the arrangement. Otherwise, these costs are expensed as incurred.[35] Refer to the ***Upgrades & Enhancements to Existing Software, Hosting Arrangements, or Websites*** subsection above.

Advance payments for annual licenses or licenses that do not otherwise qualify for capitalization represent a prepaid asset that is amortized over the license period.

SUBSEQUENT MEASUREMENT

a. Internal-Use Software, Hosting Arrangements and Website Development Monitoring

Capitalizable project costs are accumulated and recognized by Hilton. The Fixed Asset and IT Finance teams are responsible for reviewing the monthly activity within Hilton's accounts with the relevant Project Managers to ensure recognition of project costs are in accordance with this policy and that the costs of completed projects are being transferred to the appropriate asset accounts in a timely manner. These teams also verify that amortization commences as of the date the related assets are placed in service.

If a project has multiple components or modules and they will be ready for use at different times, this policy must be applied to each of the components or modules separately. This includes tracking and allocating the costs associated with the overall project to each component or module appropriately. Individual assets are placed into service and begin amortizing when the specific component is ready for its intended use.[36] Project managers are responsible for maintaining appropriate records and documentation that clearly distinguish project costs related to each component or module. If the costs to be allocated are not clearly distinguishable, the project manager is responsible for establishing and documenting a reasonable allocation method and supporting rationale (e.g., based on project headcount) to use.

[32] *ASC 350-40-25-9, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[33] *ASC 350-40-25-10, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[34] *ASC 842-10-55-2, Leases, Overall, Implementation Guidance and Illustrations*
[35] *ASC 350-40-25-10, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[36] *ASC 350-40-35-6, Intangibles-Goodwill and Other, Internal-Use Software, Subsequent Measurement*

b. Amortization

The capitalized costs of internal-use software, hosting arrangements, and website development are amortized on a straight-line basis over the estimated useful life of the software, hosting arrangement or website beginning on the in-service date.[37]

$$\textit{Annual Amortization Expense} = \frac{\textit{Capitalized Costs}}{\textit{Estimated Useful Life (Years)}}$$

In Service Date

Project managers, the Fixed Asset Team, and the IT Finance Team are responsible for determining the appropriate in-service date. Capitalization ceases no later than the point at which the project is substantially complete and ready for its intended use[38] or when it is no longer probable that the software project will be completed and placed in service.[39] For components or modules, amortization begins when each component or module is ready for its intended use, regardless of whether the larger system will be placed in service in phases.[40]

Useful lives

The estimated useful life of internal-use software and hosting arrangements in which Hilton has gained access to the underlying software is three years. Deviations from the defined useful life of three years may be appropriate in certain cases. Hilton considers the effects of obsolescence, competition, technology, and other economic factors when determining the appropriate useful life assigned to its internal-use software, hosting arrangement, and website assets in which Hilton has gained access to the underlying software, and websites.[41] If we do not gain access to the underlying software, the useful life of a hosting arrangement is determined by the service agreement with the third-party. All requests for using amortization lives other than those specified here should be submitted to the appropriate business lead and Fixed Asset Accounting team. See **FP-OPSFIN-160—Policy Waivers** for the appropriate policy deviations procedures for operations finance personnel.

The term of a hosting arrangement that is a service contract is the fixed noncancellable term of the hosting arrangement plus all of the following:

- Periods covered by Hilton's sole option to extend or terminate the hosting arrangement if Hilton is reasonably certain to exercise the option to extend or is reasonably certain not to exercise its option to terminate.
- Periods covered by an option to extend, or not to terminate, the hosting arrangement in which exercise of the option is controlled by the vendor.[42]

Subsequent changes in facts and circumstances may alter Hilton's estimate of the useful life of internal-use software, hosting arrangements, and websites. Any changes in the estimated useful life are treated as a change in estimate and accounted for prospectively.

c. Impairment

Internal-use software, hosting arrangements, or websites become impaired when the carrying amount of the asset is not recoverable and exceeds its fair value.[43, 44] Finite lived intangible assets are tested for impairment whenever events or changes in circumstances indicate that is carrying value may not be recoverable.[45] Refer to **FP-FIN-033—Impairment Accounting Policy** for details around Hilton's impairment process.

If an impairment loss is recognized, the asset's carrying amount is reduced by an amount equal to the impairment loss. The adjusted carrying amount of the asset becomes its new accounting basis. This new accounting basis is amortized over the remaining estimated useful life of the asset. Restoration of a previously recognized impairment loss is prohibited.[46]

[37] *ASC 350-40-35-4, Intangibles-Goodwill and Other, Internal-Use Software, Subsequent Measurement*
[38] *ASC 350-40-25-14, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[39] *ASC 350-40-25-13, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[40] *ASC 350-40-35-6, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[41] *ASC 350-40-35-5, Intangibles-Goodwill and Other, Internal-Use Software, Recognition*
[42] *ASC 350-40-35-14, Intangibles-Goodwill and Other, Internal-Use Software, Subsequent Measurement*
[43] *ASC 350-40-35-11, Intangibles-Goodwill and Other, Internal-Use Software, Subsequent Measurement*
[44] *ASC 360-10-35-17, Property, Plant, and Equipment, Overall, Subsequent Measurement*
[45] *ASC 360-10-35-21, Property, Plant, and Equipment, Overall, Subsequent Measurement*
[46] *ASC 360-10-35-20, Property, Plant, and Equipment, Overall, Subsequent Measurement*

If it is determined a project, a component, or a module in development (i.e., never placed into service and still resides in construction in progress ("CIP")) is not going to be completed and/or put in use, the asset's carrying value within CIP is written down to zero through 'Impairment loss' or 'Other expenses from managed and franchised properties' in the Consolidated Statement of Operations depending on whether the project was corporate funded or non-corporate funded, respectively.[47]

DERECOGNITION

a. Disposals and Write-offs

Once an asset has been fully amortized, it will remain on Hilton's ledger until it is ultimately disposed of (e.g., replaced by new software, hosting arrangement, or website or is no longer used). Once an asset is ultimately disposed of, the gross cost and related accumulated amortization are concurrently written off from the ledger.

PRESENTATION

a. General

Implementation costs for corporate funded hosting arrangements that are a service contract are presented in 'General and administrative expenses' in the Consolidated Statement of Operations, while implementation costs for non-corporate funded hosting arrangements that are a service contract are presented in 'Other expenses from managed and franchised properties' in the Consolidated Statement of Operations.

In addition, capitalized implementation costs for hosting arrangements that are a service contract are presented in 'Other current assets' or 'Other assets' in the Consolidated Balance Sheet. Hilton will also reflect the cash outflow for hosting arrangements that are a service contract within 'Operating Activities' in the Consolidated Statement of Cash Flows.

[47] *ASC 350-40-35-3, Intangibles-Goodwill and Other, Internal-Use Software, Subsequent Measurement*

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

Transaction	Affected		
	Balance Sheet Line Item	**Income Statement Line Item**	**Cash Flow Statement Section**
Initial capitalization of internal-use software, hosting arrangements in which Hilton is considered to have gained access to the underlying software, and websites: Recorded at cost on the balance sheet	- Other intangible assets, net (debit) - Cash and cash equivalents or Accounts payable, accrued expenses and other (credit)	- N/A	- Investing Activities (Outflow)
Initial capitalization of hosting arrangements that are a service contract: Recorded at cost on the balance sheet	- Other long-term assets (debit) - Cash and cash equivalents or Accounts payable, accrued expenses and other (credit)	- N/A	- Operating Activities (reconciling item to net income)
Recognition of amortization for internal use software, hosting arrangements in which Hilton is considered to have gained access to the underlying software, and websites	- Other intangible assets, net (credit)	- Depreciation and amortization (debit)	- Operating Activities (reconciling item to net income)
Recognition of amortization for corporate funded hosting arrangements that are service contracts	- Other current assets or Other assets (credit)	- General and administrative (debit)	- N/A
Recognition of amortization for non-corporate funded hosting arrangements that are service contracts	- Other long-term assets or Other assets (credit)	- Other expenses from managed and franchised properties (debit)	- N/A
Project or module in development that has been foregone or terminated, or impairment of an asset	- Other intangible assets, net, Other long-term assets or Other assets (credit)	- Impairment loss or Other expenses from managed and franchised properties (debit)	- Operating Activities (reconciling item to net income)
Advance payment for an annual license that did not qualify for capitalization.	- Prepaid expenses (debit) - Cash and cash equivalents (credit)	- N/A	- Operating Activities (outflow)

Advance payment for hardware or software maintenance.	- Prepaid expenses (debit) - Cash and cash equivalents (credit)	- N/A	- Operating Activities (outflow)
Recognition of the monthly expense related to advance payment for a corporate funded annual license that did not qualify for capitalization and/or hardware or software maintenance.	- Prepaid expenses (credit)	- General and administrative (debit)	- N/A
Recognition of the monthly expense related to advance payment for a non-corporate funded annual license that did not qualify for capitalization and/or hardware or software maintenance.	- Prepaid expenses (credit)	- Other expenses from managed and franchised properties (debit)	- N/A

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

FP-FIN-001—Fixed Assets Accounting Policy

FP-FIN-002—Capitalization of Employee Labor Costs Accounting Policy

FP-FIN-023—Capitalized Interest Accounting Policy

FP-FIN-033—Impairment Accounting Policy

FP-OPSFIN-160—Policy Waivers

TOOLS & TEMPLATES

Internal-Use Software and Cloud Computing Examples	**Appendix I**
Website Development Examples	**Appendix II**

TERM/ACRONYM	DEFINITION
Software as a Service ("SaaS")	Software applications that are maintained on a third party or vendor's server or cloud computing services for offsite storage and accessed online via a subscription.
Platform as a Service ("PaaS")	Cloud computing services that provide a platform to allow customers to develop, run and manage applications.
Infrastructure as a Service ("IaaS")	Hardware, storage, servers and data center space that is delivered on an outsourced basis to support enterprise operations.
Hosting Arrangement	In connection with accessing and using software products, an arrangement in which the customer of the software does not currently have possession of the software. Rather, the customer accesses and uses the software on an as-needed basis.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
For questions refer to Technical_Accounting@Hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.

Appendix I: Internal-Use Software & Hosting Arrangement Examples

The following table provides examples of typical costs that are incurred during the implementation of new software development projects as well as certain costs for software purchases from third parties and the appropriate treatment of those costs based on Hilton's policy. This list is not intended to be a complete listing of all potential costs.

Cost Description	Capitalize	Expense
Costs incurred for initial system requirement definitions. Costs are incurred in preliminary project phase and related to understanding system needs		✓
Costs incurred to make strategic decisions on the allocation of resources between alternative projects at any given time		✓
Costs incurred to determine the performance and system requirements for the project		✓
Costs to solicit vendor proposals (RFP's) for systems software packages		✓
Costs to select the vendor to purchase software from		✓
Costs to select consultants to assist in the development or installation of the software		✓
Costs to design software configuration and interfaces	✓	
Costs incurred to code the software	✓	
Costs to develop or obtain software to access or convert old data by new systems	✓	
Costs incurred to actually access or convert old data into a form that can be read by the new system, reconciling data between the old system and the new system, urging or cleansing of existing data, or creation of new or additional data		✓
Costs for license fees[1]	✓	✓
Costs for initial perpetual license fees[2]	✓	
Costs incurred for payroll and payroll related costs for Team Members reviewing programming code and logic directly related to the project (note project must be in application development stage)	✓	
Costs incurred for payroll and payroll related costs for any general legal and/or executive oversight of project		✓
Costs to install hardware and software, and testing (including parallel processing)	✓	
Costs related to training individuals on the new software or updated software		✓
Costs related to routine maintenance, software updates, and support costs for the new software[3]		✓
Costs related to debugging or modifications that do not result in additional functionality (i.e., extends the useful life)		✓
Costs incurred for system upgrades that result in additional functionality. (i.e., modifications to enable the software to perform tasks that it previously was not capable of performing)	✓	
Costs for the development of pilot programs		✓

[1] If these costs are paid for in advance, Hilton will recognize a prepaid asset and expense the costs over the license period. For software licenses that are for multiple years Hilton may analogize the treatment to the guidance in ASC 842 on leases and capitalize the cost as software based on the major part (e.g., >75%) of economic life test. The capitalized software would be depreciated over 3 years. Refer to the Initial Recognition and Measurement section for details.

[2] As the term of the license is greater than a major part (e.g., 75%) of the economic life of the software Hilton analogizes the treatment to the guidance in ASC 842 and capitalizes these costs as software. The capitalized software would be depreciated over 3 years.

[3] To the extent support costs are paid for in advance Hilton should consider recognizing a prepaid asset and expense the costs over the support period provided per the terms of the agreement.

Appendix II: Website Development Examples

The following table provides examples of typical costs that are incurred during the implementation of a website development project and the appropriate treatment of those costs based on Hilton's policy. This list is not intended to be a complete listing of all potential costs.

Cost Description	Capitalize	Expense
Costs incurred to develop a business and/or project plan		✓
Costs incurred to identify necessary hardware (e.g., the server) and web applications		✓
Costs to invite vendors to demonstrate how their web applications, hardware, or service will help achieve the website's functionalities		✓
Costs to determine the technology necessary to achieve desired functionalities		✓
Costs to explore alternatives to achieving functionalities		✓
Conceptually formulate/identify graphics and content		✓
Costs to identify internal resources for website design and development		✓
Costs to select software tools required for website development		✓
Costs to determine website functionalities		✓
Costs to select external vendors or consultants		✓
Costs to address legal considerations such as privacy, copyright, trademark and compliance.		✓
Costs to obtain and register an internet domain name	✓	
Costs to acquire or develop software necessary for general website operations, including server operating system software, internet server software, web browser software, and internet protocol software.	✓	
Costs to develop or acquire and customize database software and software to integrate distributed applications	✓	
Costs to acquire code for web applications (search engines, payment systems, interfaces, email software)	✓	
Costs to develop HTML web pages or templates and write code to create HTML pages	✓	
Costs to purchase the web and application server(s), internet connection (bandwidth), routers, staging servers (where preliminary changes to the website are made in a test environment), and production servers (accessible to customers using the website).	✓	
Costs to create **initial** graphics for the website. Graphics include the design or layout of each page (i.e., the graphical user interface), color, images, and the overall "look and feel" and "usability" of the website.	✓	
Costs to install developed applications on the web servers	✓	
Costs for initial creation of hypertext links to the other websites or to destinations within the website	✓	
Costs to test the website applications	✓	
Costs to acquire or develop the software tools required for the development work[1]	✓	✓

Cost Description	Capitalize	Expense
Costs to create content or populate databases. Content may be created or acquired to populate databases or websites and can be acquired from unrelated parties or developed internally.	✓	
Costs to enter **initial** content into the website. Content is text or graphical information (exclusive of initial graphics described above) on the website which may include information on the entity, products offered, information sources that the user subscribes to, and so forth. Content may originate from databases that must be converted to HTML pages or databases that are linked to HTML pages through integration software. Content also may be coded directly into websites[2]	✓	✓
Costs to register the website with internet search engines		✓
Costs to update site graphics		✓
Costs related to training individuals on the new software or updated software		✓
Costs to perform regular backups		✓
Costs for the creation of new links		✓
Costs to verify links are functioning properly and update existing links		✓
Costs for routine security reviews of the website and where applicable, of the third-party host		✓
Cost to perform usage analysis		✓
Costs for debugging or modifications that do not result in additional functionality (i.e., extends the useful life)		✓
Costs for system upgrades that result in additional functionality (i.e., modifications to enable the website to perform tasks that it previously was not capable of performing)	✓	
Costs for user administration activities		✓

[1] Costs incurred to purchase software tools, or costs incurred during the application development stage for internally developed tools, generally should be capitalized unless they are used in research and development and (1) do not have any alternative future uses or (2) are internally developed and represent a pilot project or are being used in a specific research and development project.
[2] Data conversion costs and costs to input content into a website should be expensed as incurred. Software used to integrate a database with a website generally should be capitalized. Refer to the Initial Recognition and Measurement section for details.